



Investment Argument:

Cosmo First is a global player of flexible packaging providing solutions in lamination, label and industrial packaging. Established in 1981, Cosmo First has made its product offerings in BOPP (Biaxially oriented polypropylene) films as well as CPP (Cast Polypropylene) films. The company supplies its products to over 100 countries worldwide (exports contributing to ~50% of total sales). The company has recently drawn up expansion plans in films segment and elsewhere which shows the focus area of the company.

Investment Rationale:

Strong Capacity Expansion plans:

Company has laid out strong plans to expand capacity by entering into BOPET films and expanding into CPP as well as BOPP films.

➤ BOPP Line:

Cosmo has announced the installation of World's Largest BOPP line (~67,000 Mtpa) which will commence operations in FY26. This marks the company's confidence in the growing sector. The line will incrementally add ~33% to the existing capacity and due to the benefit of scale, it will also improve the margins.

➤ BOPET Line:

Cosmo is in the process of setting up its first BOPET line which will commercialize by Q2FY23. The BOPET film line will be having a capacity of 25,000 – 27,000 mtpa, increasing the total capacity by 20%, which will manufacture PETG Films (high shrinkage films) and Heat Control Films among other high end specialty films in India. Both the films are value add/specialty films having high demand in India. PETG films will help convert the non-recyclable PVC film market in India (size of 30,000 mtpa) and will also be an import substitution play.

➤ CPP Line:

Company had recently announced expansion of its CPP line which will also add capacity of around 25,000 mtpa. CPP is a mixture of BOPP and BOPET films which will complement the company's existing capacities. Along with the above mentioned lines, company has also announced a line for production of metallized film capacitor which will receive benefit of PLI scheme. The CPP line will be relatively smaller compared to other lines currently announced.

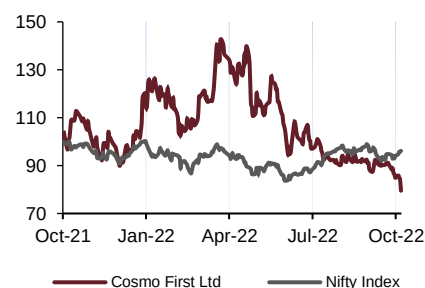
One Year Performance

Rating	TP (Rs)	Up/Dn (%)
NEUTRAL	NA	-

Market data

Current price	Rs	742
Market Cap (Rs.Bn)	(Rs Bn)	21
Market Cap (US\$ Mn)	(US\$ Mn)	252
Face Value	Rs	10
52 Weeks High/Low	Rs	1428 / 732
Average Daily Volume	('000)	124
BSE Code		508814
Bloomberg		COSMOFIR.IN

Source: Bloomberg



Source: Bloomberg

% Shareholding	Sep-22	Jun-22
Promoters	44.24	44.09
Public	54.45	54.78
Total	100	100

Source: Bloomberg

Miraj Shah
+91 22 67141489

miraj.shah@dalal-broacha.com

No	Capex Project	Estimated Capex (INR Crs)	Annual Capacity (MT)	Estimated Commercial Production by
1	Specialised BOPET Line with Value add assets	450	30,000	H2'FY2023
2	BOPP (World's Largest Line)	350	67,000	H1'FY2026
3	CPP Films Line	140	25,000	FY2025
4	Total	940		

Focus on Value Add Films:

With over 30 scientists and 100 years of collective experience the company has built a strong R&D team to strengthen its ground in specialty films. Today, the ~63% of the total sales of Cosmo First is through specialty films which the aims to take up to 80% (in volume terms by FY24). For every percent shift in sales from plain commodity to specialty films, the company expects to add 40-50 mn in EBITDA.

The sale of specialty films has been growing at ~18% CAGR for the past 3 years. The company offers widest product portfolio under one roof with four state of the art manufacturing facilities spread across India (3), and Korea (1).

Cosmo First is globally among the top 4 BOPP players. They are the world's largest supplier for Thermal Lamination films (post acquisition of GBC Commercial Print in June 2009) and Industrial Application films while second largest for specialty label films.

New Segments: Cosmo First has decided to enter into newer segments, some related while some unrelated businesses. While the primary business remains packaging films, the company has entered into specialty chemicals (masterbatches, textile chemicals, adhesives) and Petcare. These markets are sizeable and have decent capacity to grow

Strong Financials: The Company has exhibited strong financial performance over the past several quarters bringing key indicators in comfort zone. The Net Debt to EBITDA is down to 1.3x from 4.8x in FY18 while Net Debt to Equity is down from 1x to 0.6x in the same duration. The company maintained has strong cash balance and investments forming almost 18% of the balance sheet size.

The company also received an upgrade in credit ratings by CRISIL back in June 2021 (long term ratings upgraded to AA- and short term ratings upgraded to A1+). The ratings reflect a healthy business risk profile, supported by a strong market position across various commodity and specialty flexible packaging segments in the domestic and global markets, improving operating efficiency and a comfortable financial risk profile. These strengths are partially offset by vulnerability to volatility in raw and thereafter material prices and demand-supply dynamics, and to risks related to capital expenditure (capex) implementation stabilisation of the additional capacity risk.

Outlook:

Cosmo First is well placed in the packaging segment which is relatively a small industry in terms of Market Cap. The industry has been getting traction due to strong traction to hygienic packaging since COVID.

Company started some complementary and some unrelated businesses in order to reduce volatility. Company entered into masterbatches & specialty chemicals (complementary) and Adhesives & Petcare (unrelated). Once scaled up strategically, these businesses should generate sizeable revenue to counter volatility in flexible packaging business. But that is a long way ahead.

We feel, the long term story remains intact but our view in the short to medium term remains cautious. We do not see any upward rerating in the stock due to unfavorable commodity cycle.

At 742, Cosmo First trades 5x FY24EEPS of 148.5 as per our estimates. We have a NEUTRAL view on the stock and we'll continue to monitor the company's performance going ahead.

Financial Summary

Y/E Mar (Rs mn)	FY19	FY20	FY21	FY22	FY23E	FY24E
Net sales	21,565.2	22,035.3	22,851.8	30,383.9	33,885.8	35,479.4
EBIDTA	1,619.1	2,616.6	3,930.2	5,722.1	5,870.3	6,550.4
Margins	7.51%	11.87%	17.20%	18.83%	17.32%	18.46%
Adjusted net profit	611.1	1,134.4	2,369.0	3,966.1	3,745.6	4,047.6
EPS (Rs) (Post Split adjusted for earlier years)	22.4	41.6	86.9	145.5	137.4	148.5
P/E (x)	33.1	17.8	8.5	5.1	5.4	5.0
EV/EBITDA (x)	16.3	10.0	6.6	4.9	4.9	4.1
RoCE (%)	7.82%	14.01%	22.47%	25.33%	20.67%	19.66%
RoE (%)	8.98%	15.31%	27.74%	33.31%	23.88%	20.51%

Source: Company, Dalal & Broacha Research

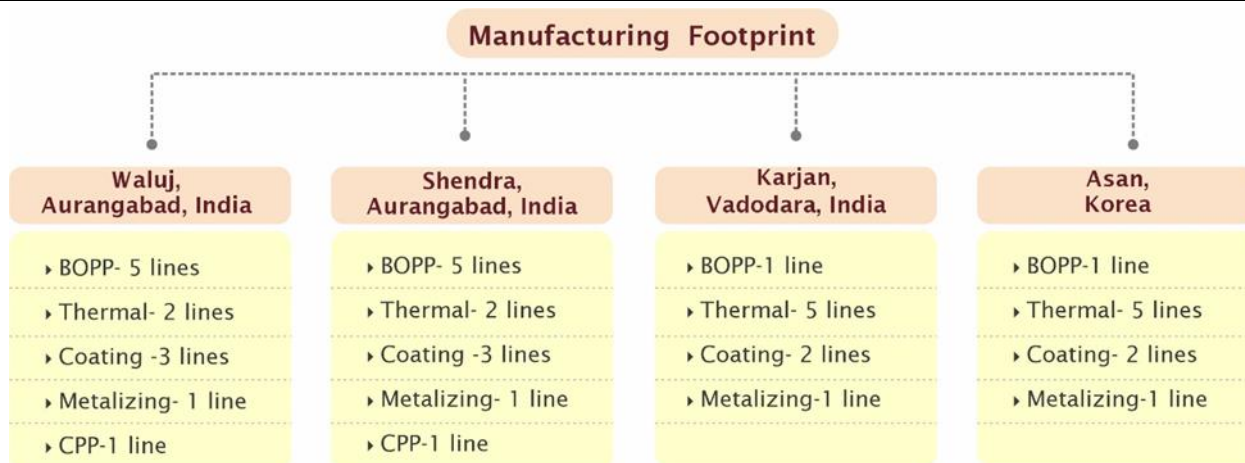
About the Company

Established in 1981, Cosmo First Limited today is a global leader in specialty films for packaging, lamination and labeling applications with increased focus on the specialty. Company is also focusing on chemicals and a digital first, D2C Petcare business

Its product offerings include biaxially oriented polypropylene (BOPP) films, cast polypropylene (CPP) films and recently entered Petcare and specialty chemicals space. The company is planning to launch, biaxially oriented polyethylene terephthalate (BOPET) films by FY23.

Company has expanded within BOPP and has become a global leader in many of its offerings such as Specialty Label Films, Thermal Lamination Films and Industrial Lamination Films. They are getting into newer segments such as Direct Thermal Printable Films, Heat Reduction Films and Shrink Label Films.

Exhibit 1: The company has 4 manufacturing plants

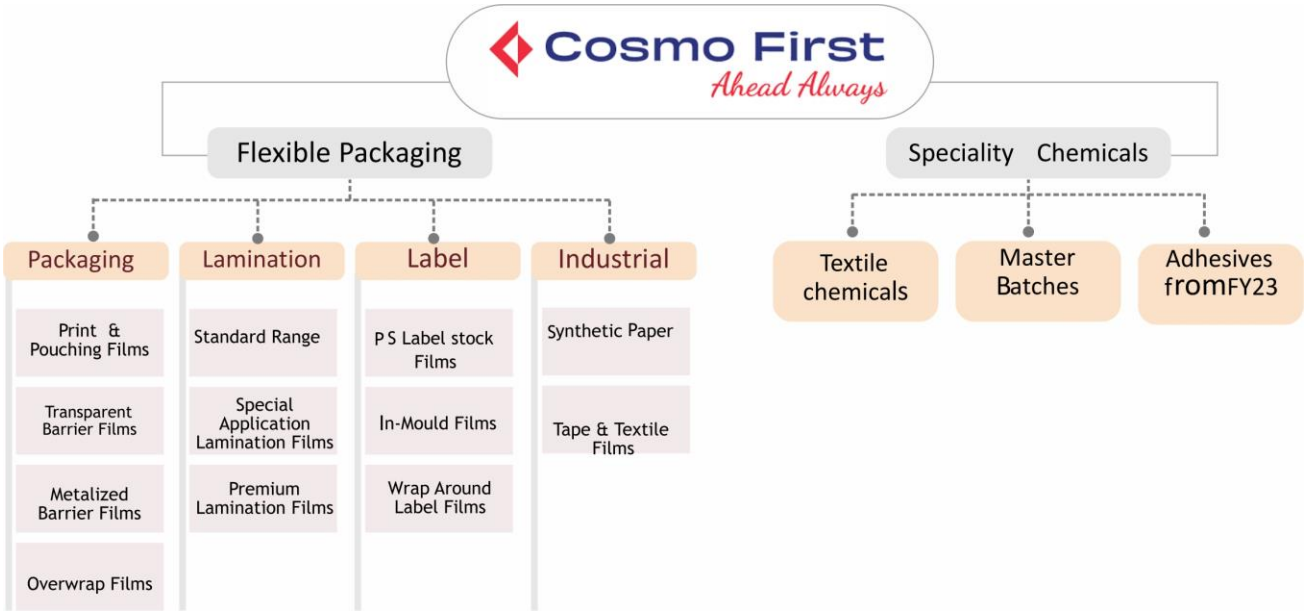


Source: Company, Dalal & Broacha Research

Total Installed Capacity

Product	Detail
BOPP	1,96,000 TPA (9 lines)
Thermal	40,000 (8 lines)
Coating	20,000 (6 lines)
Metalizing	22,000 (4 lines)
CPP	10,000 (2 lines)
CSP	7,000 (1 lines)

Exhibit 2: The company manufactures a wide range of products in the portfolio



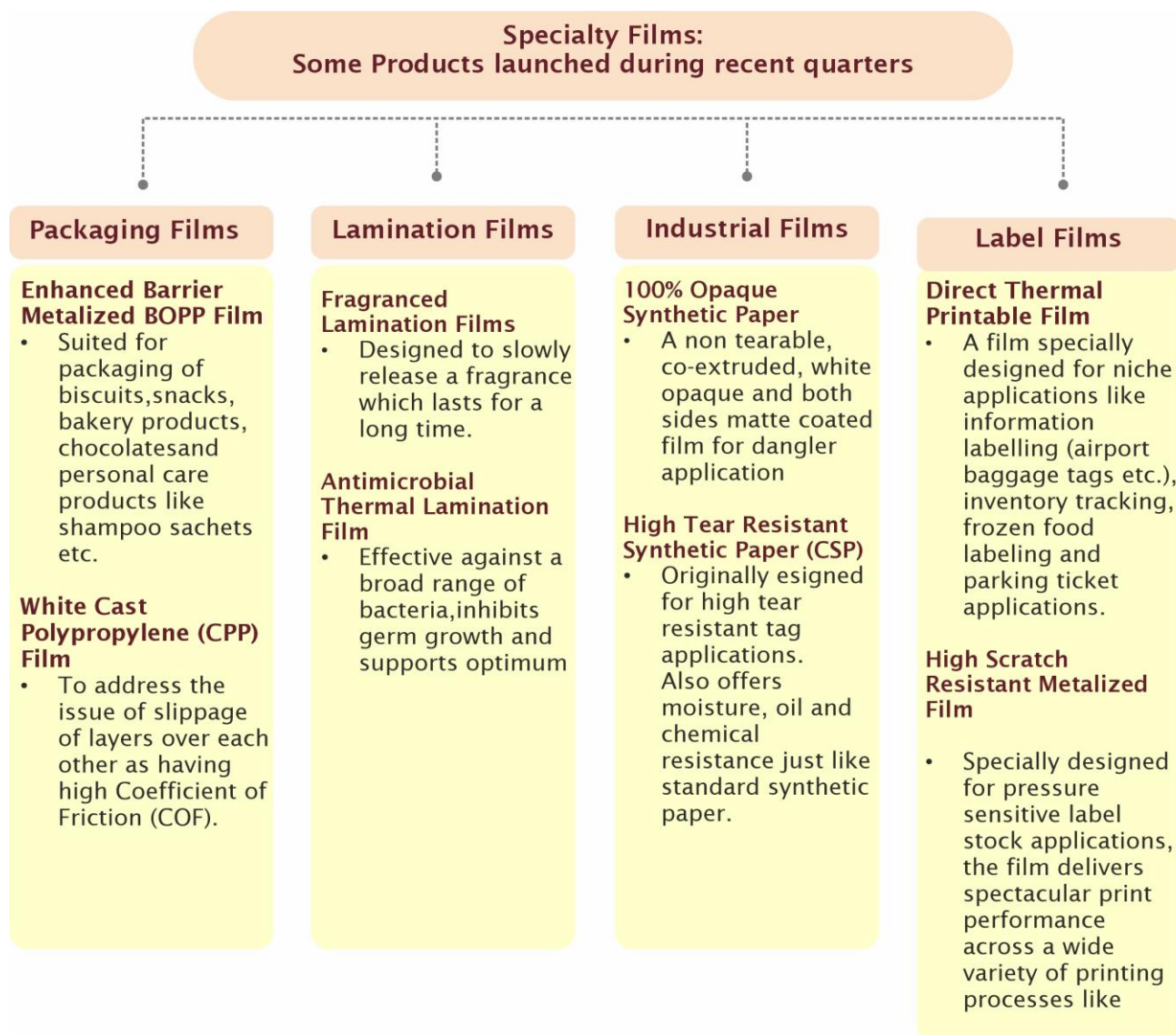
Source: Company, Dalal & Broacha Research

Exhibit 3: Company sales offices and manufacturing locations



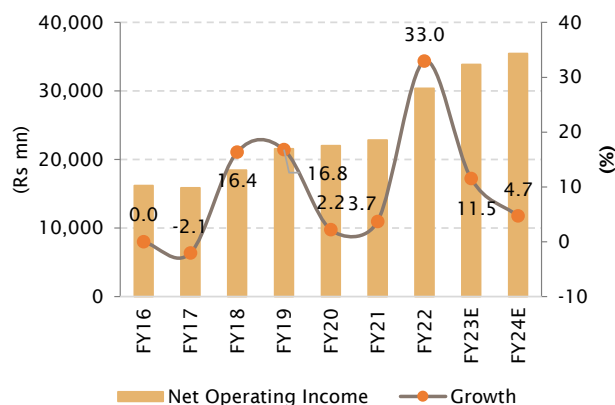
Source: Company, Dalal & Broacha Research

Exhibit 4: The company manufactures a wide range of products in the portfolio



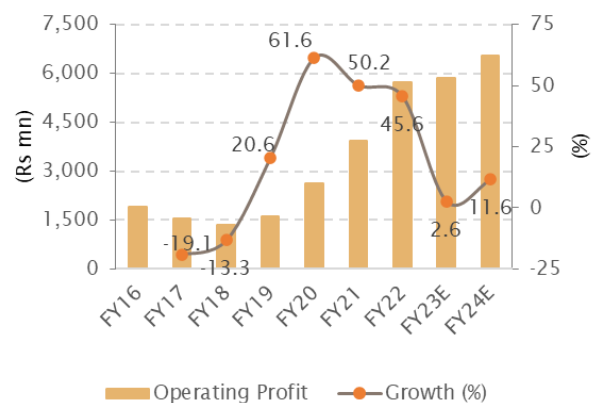
Source: Company, Dalal & Broacha Research

Exhibit 5: Net Operating Income



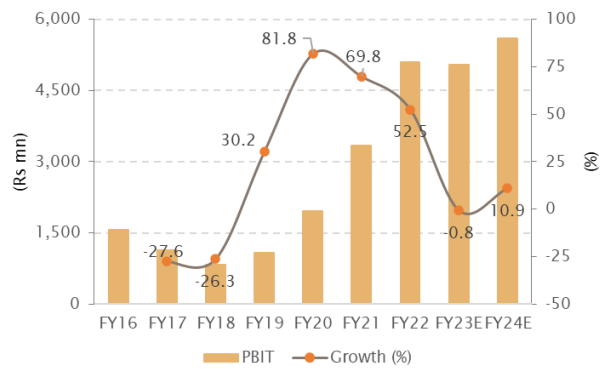
Source: Company, Dalal & Broacha Research

Exhibit 6: Operating Profit



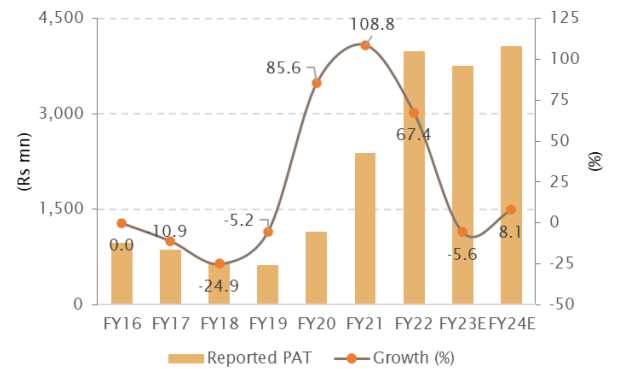
Source: Company, Dalal & Broacha Research

Exhibit 7: PBIT



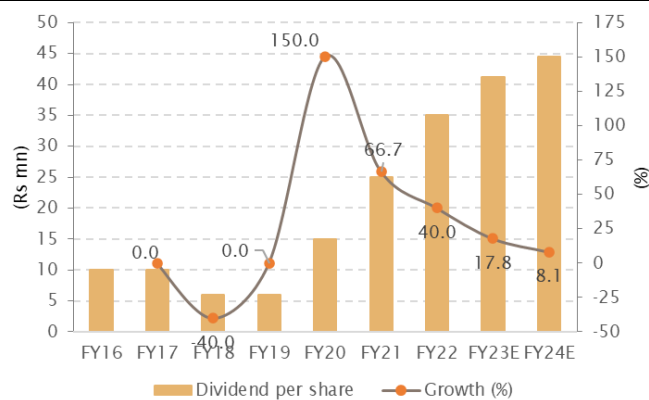
Source: Company, Dalal & Broacha Research

Exhibit 8: Reported PAT



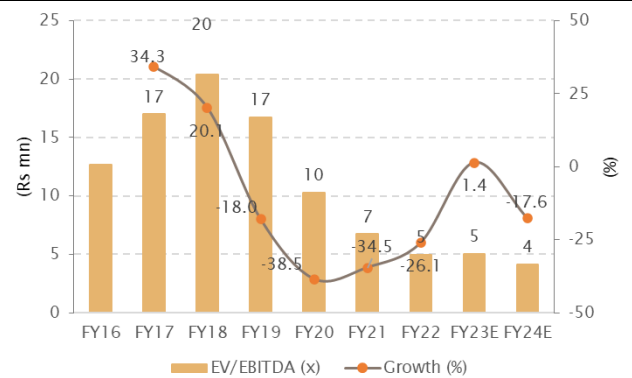
Source: Company, Dalal & Broacha Research

Exhibit 9: Dividend per share



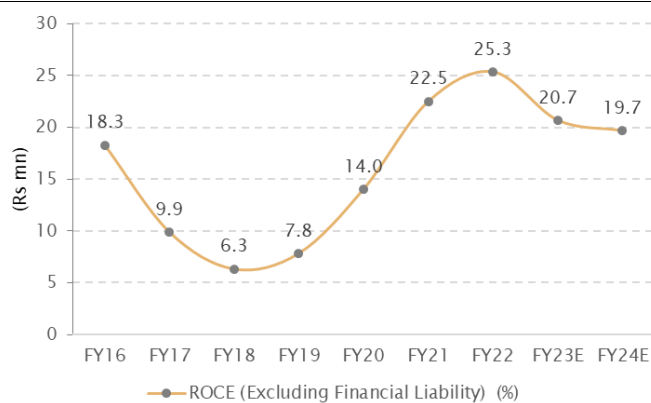
Source: Company, Dalal & Broacha Research

Exhibit 10: EV/EBITDA (x)



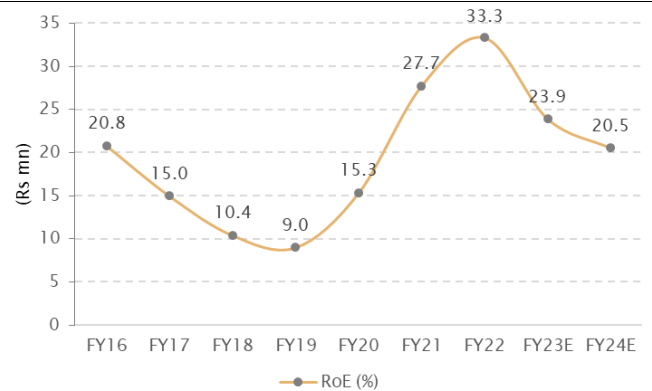
Source: Company, Dalal & Broacha Research

Exhibit 11: ROCE



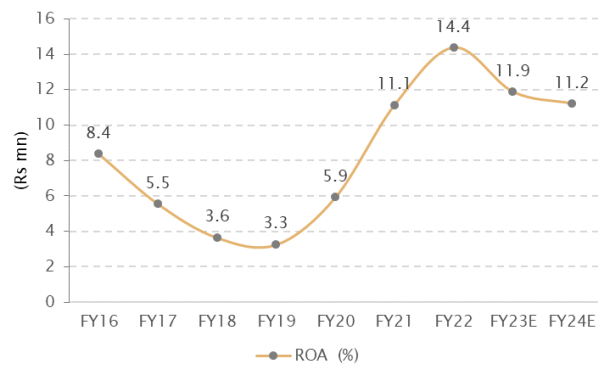
Source: Company, Dalal & Broacha Research

Exhibit 12: ROE



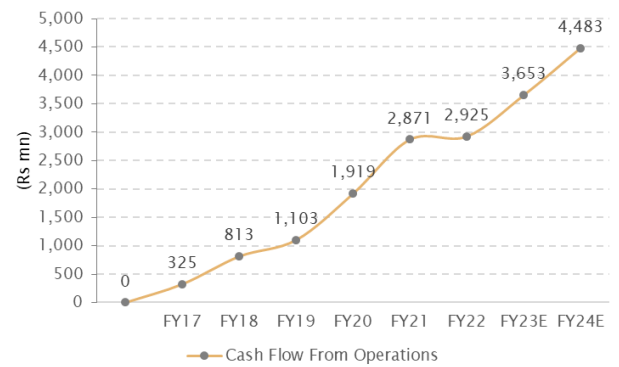
Source: Company, Dalal & Broacha Research

Exhibit 13: ROA



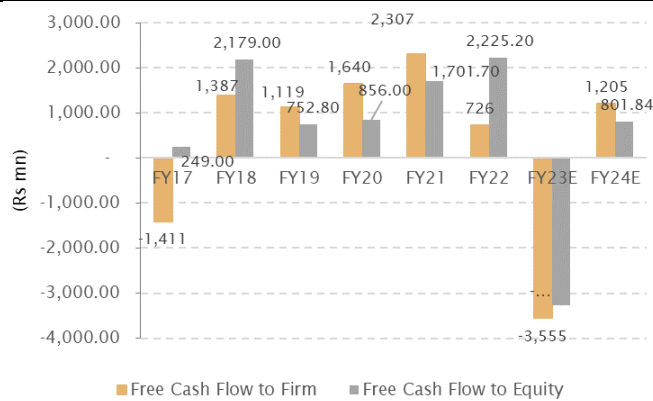
Source: Company, Dalal & Broacha Research

Exhibit 14: Cash Flow From Operations



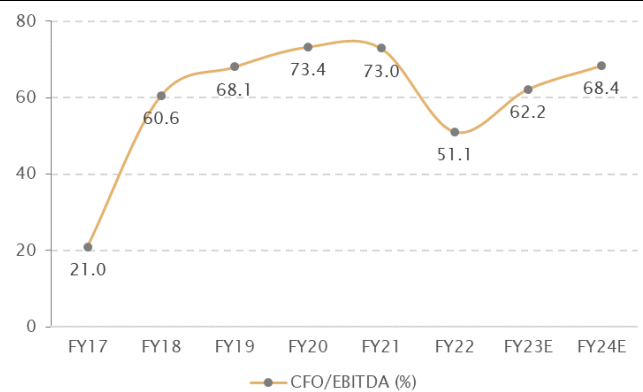
Source: Company, Dalal & Broacha Research

Exhibit 15: Free Cash Flow



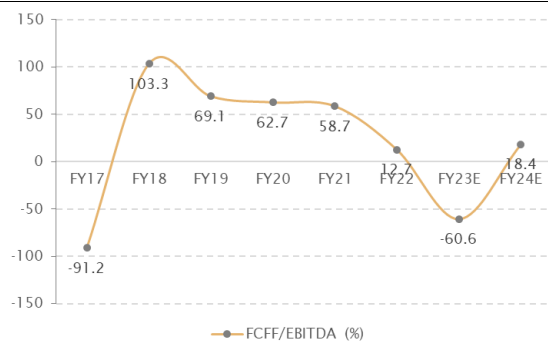
Source: Company, Dalal & Broacha Research

Exhibit 16: CFO/EBITDA (%)



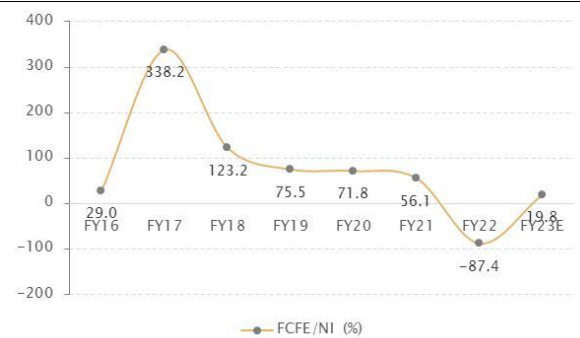
Source: Company, Dalal & Broacha Research

Exhibit 17: FCFF/EBITDA



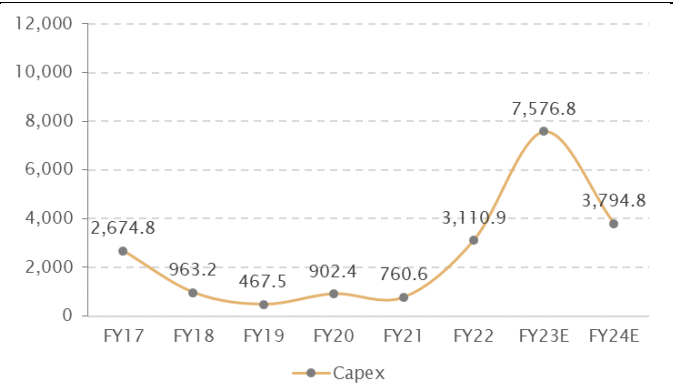
Source: Company, Dalal & Broacha Research

Exhibit 18: FCFE/Ni (%)



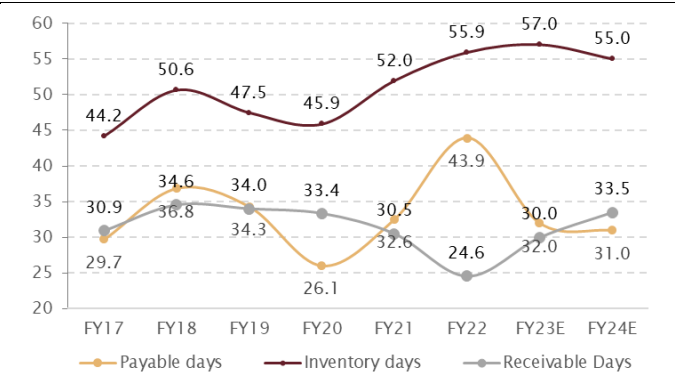
Source: Company, Dalal & Broacha Research

Exhibit 19: Capex



Source: Company, Dalal & Broacha Research

Exhibit 20: (%)Receivable, Payale, Inventory



Source: Company, Dalal & Broacha Research

Latest Conference call highlights:

Operational Highlights – Films:

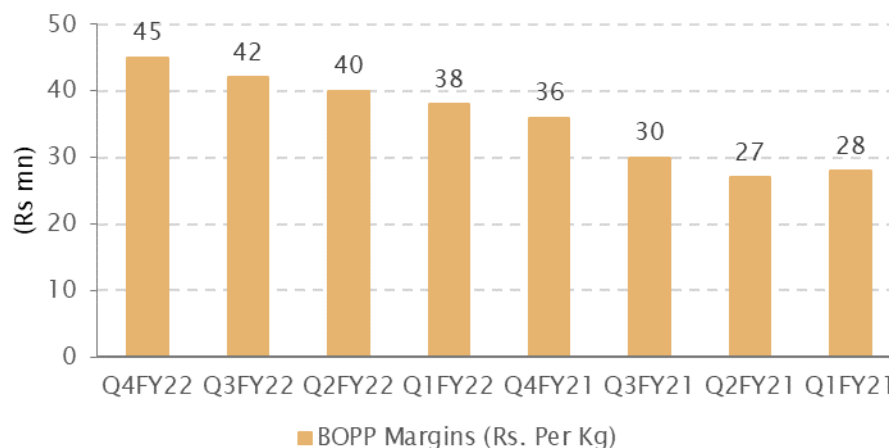
- BOPP commodity margins at 35 Rs Vs 45 Rs QoQ, 34 Rs YoY
- Commissioning of several lines caused imbalance in demand and supply and has caused the margins to take a hit
- BOPP specialty margins at 65-70 Rs (due to high cost inventory which helped in charging higher realizations)
- Specialty sales at 68% for the quarter in volume terms; Specialty sales grew at 18% CAGR for 3 years. (targeting 80% volume contribution by FY24 end)
- Margin hit faced in foreign subsidiary also due to RM price hikes and weakening of other currencies vs dollar
- BOPET line capex plan increased by 50 crs, total planned capex fo FY23 stands at 250 Crs

Zigly: Plans to launch app and open 15 stores in FY23

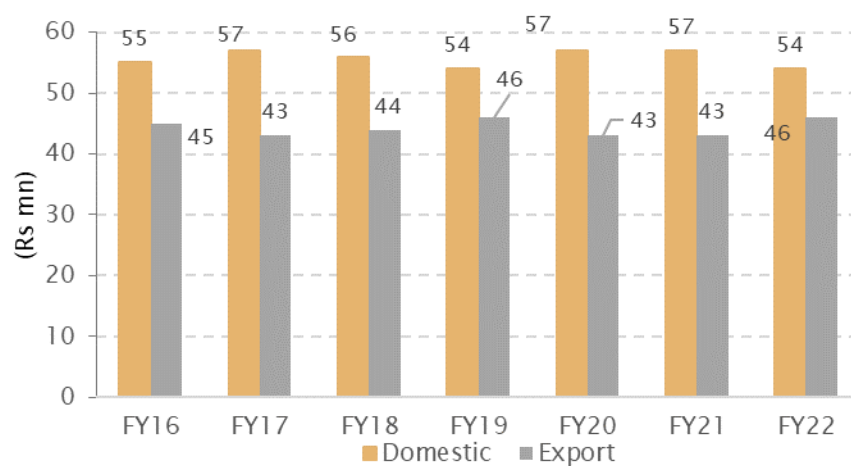
Specialty chemicals:

- Specialty chemical sales at 47 crs in Q1 vs 92 crs for FY22
- Masterbatch utilization at 70%
- Without any additional capex in Specialty chemicals (inclusive of masterbatch, textile chem and adhesive), company can generate 350 crs of sales and with additional capex, it can go up to 500 crs.

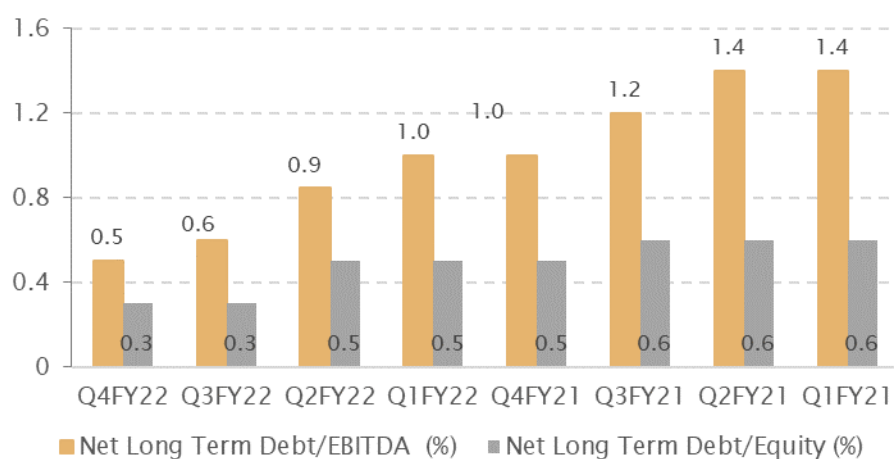
Exhibit 21: BOPP Margins (Rs. Per Kg)



Source: Company, Dalal & Broacha Research

Exhibit 22: Domestic & Exports

Source: Company, Dalal & Broacha Research

Exhibit 23: Net Long Term Debt/EBITDA (%) & Net Long Term Debt/Equity

Source: Company, Dalal & Broacha Research

About the industry

The packaging industry has evolved significantly in the past two years of the pandemic. Through the different phases of the pandemic new trends have emerged and adopted by various companies in the packaging industry. From smart packaging to sustainable and safe packaging with innovation and artistic touch, the packaging trends have gained a lot of prominence in the food, pharmaceutical, beverage, cosmetic and other FMCG industries. Recently, a lot of FMCG companies have moved to sustainable packaging and banned use of single-use plastic. This move was undertaken especially after a lot of customers have started shifting towards sustainable flexible packaging solutions and banned use of plastic and environment harmful packaging options.

The global Packaging market valued at USD 1002.48 Bn in 2021, is expected to reach USD 1,275 Bn by 2027, registering a CAGR of 4% in the forecast period. The global flexible packaging market which stood at USD 125 Bn in 2021, is expected to reach USD 164 bn by 2027, which is a CAGR of 4.5% in the forecast period. Along with flexible packaging options, the use of more easily recyclable and sustainable packaging solutions such as paper, board, recycled PET, bioplastics will rise in the near future.

The Indian Packaging industry, which is one of the largest globally, is expected to register a CAGR of 27% during 2022-2027. The flexible packaging market in India is set to grow by USD 12.72 bn, progressing at a CAGR of almost 11% during 2021-2025. End-user industries like pharmaceutical, food processing, personal care are expanding with huge investments from large multinational corporations. This has resulted in developing cheaper and sustainable packaging solutions which is fueling the expansion in the packaging sector. Additionally, factors like increase in the working population that require instant food solutions with higher shelf-life have forced packaging companies to come up with innovative and durable packaging solutions.

According to the Indian Institute of Packaging (IIP), the packaging consumption in India has increased by 200% in the past decade. With growing awareness, the requirement for eco-friendly and sustainable packaging is steadily on the rise. With several billion parcels delivered every year, the threat of packaging waste is increasing due to which, the need for recyclable packaging material is on the rise.

In the current era, this dramatic shift to online shopping, increased global regulation of packaging waste, and the acceleration of consumers' sustainability concerns have all forced a rapid pace of change. Addressing these concerns, whilst maintaining the market standards, many FMCG companies and packaging manufacturers are reconsidering sustainable packaging solutions to enhance their image as a responsible brand.

BOPP & BOPET films

The Indian BOPP and BOPET films demand stood at 329,000 tonnes in FY21 and is forecast to reach 568,000 Tonnes by FY30, growing at a healthy CAGR of 6.26% in the forecast period. Indian economy is growing a fast pace with a surge in development of FMCG, pharmaceutical, personal care and multiple other industries. Due to this, the BOPP market in the country is exhibiting huge demand from manufacturers. Additionally, BOPP self-adhesive tapes have the highest demand from ecommerce giants due to its better mechanical and optical features.

Similarly, the pharmaceutical industry, requires packaging material that help in maintaining the properties and formulations of the drugs. These films are known to have oil and moisture resistant properties that help protect the shelf-life of these medicines. The electronics, electrical appliances and personal care segment has also escalated the demand for BOPP and BOPET films in India.

The growing young population of the country in the age group of 25-50 years, are expected to drive the market for flexible packaging and BOPP films in the next decade. Despite the sharp increase over the last few years, there remains tremendous space for growth in this industry compared to other developed regions throughout the world.

Pet Care segment

India's pet care market is expected to grow at a value of INR 7500 Crores by the end of the forecasted period (2021-2026), on account of rising nuclear families, double-income households, and change in lifestyle, urbanization, and increasing pet ownership. The pet adoption ratio has seen a surge in the country due to the mindset of the young couples to delay parenthood. The market is led by the dog segment which accounted for more than half of the market share, while the rabbit segment is expected to grow to more than 26% anticipated CAGR. There has been growth in all categories namely pet food, grooming, pharmaceuticals, toys and accessories. Urban pet owners, who are always on the run, are constantly on the lookout for commercially packaged pet foods with better shelf life, which has resulted in a huge demand for proper quality and packaging solutions. Due to the underpenetrated nature of the segment in India, there seems a significant room for growth in this space which we are looking to tap.

Conclusion

Cosmo First is well placed in the packaging segment which is relatively a small industry in terms of Market Cap. The industry has been getting traction due to strong traction to hygienic packaging since COVID.

The story lies in 3 factors: Volume (Demand), Pricing Power and Customer stickiness.

- The company (and subsequently the industry) has been receiving good demand even though the growth rate for the industry remains slow. Since the expansion plans are in place, there should be volume led growth. But much bigger and efficient companies are also expanding capacities which will cap margins (pricing power).
- With the company being well spread worldwide, the issue of customer stickiness also arises since players worldwide will be ready to take margin hits to gain market share. This will lead the company to take hit on its prices or lose the customer.
- All in all, the company has been performing well for the past couple of years but the packaging segment is entering a struggling phase where high cost inventory is on the books while RM costs are falling. This will be troublesome as the company operates on a cost plus model so the revenue realizations will fall as the RM prices fall.
- The management too feels that the revenues may fall due to softening of RM and margins will fall due to imbalance in equilibrium of demand and supply (lot of lines commissioned in BOPP and BOPET space in a short span). Although this should normalize once all the lines announced by the industry get commissioned (somewhere in FY24-25).

On the other hand, company started some complementary and some unrelated businesses in order to reduce volatility. Company entered into masterbatches & specialty chemicals (complementary) and Adhesives & Petcare (unrelated). Once scaled up strategically, these businesses should generate sizeable revenue to counter volatility in flexible packaging business. But that is a long way ahead.

We feel, the long term story remains intact but our view in the short to medium term remains cautious. We do not see any upward rerating in the stock due to unfavorable commodity cycle.

At 742, Cosmo First trades 5x FY24EEPS of 148.5 as per our estimates. We have a NEUTRAL view on the stock and we'll continue to monitor the company's performance going ahead.

Financials

P&L (Rs mn)	FY19	FY20	FY21	FY22	FY23E	FY24E
Net Operating Income	21,565.2	22,035.3	22,851.8	30,383.9	33,885.8	35,479.4
Raw Materials	15,768.6	14,716.0	14,003.4	18,730.8	21,391.1	21,642.4
Employee Cost	1,314.0	1,625.7	1,930.4	2,196.1	2,322.8	2,627.2
Other Expenses	2,863.5	3,077.0	2,987.8	3,734.9	4,301.7	4,659.4
Total Expenses	19,946.1	19,418.7	18,921.6	24,661.8	28,015.5	28,929.0
Operating Profit	1,619.1	2,616.6	3,930.2	5,722.1	5,870.3	6,550.4
Depreciation	537.6	650.5	592.2	633.0	820.7	948.1
PBIT	1,081.5	1,966.1	3,338.0	5,089.1	5,049.6	5,602.3
Other income	201.5	194.6	377.4	483.2	341.0	358.3
Interest	559.7	525.7	416.8	398.1	375.1	541.3
Extraordinary Items	-	-	-	-	-	-
Allowance of expected credit losses	6.9	6.6	11.2	8.0	8.0	8.0
Profit before tax	716.4	1,628.4	3,287.4	5,166.2	5,007.5	5,411.3
Provision for tax	105.3	494.0	918.4	1,200.1	1,261.9	1,363.6
Reported PAT	611.1	1,134.4	2,369.0	3,966.1	3,745.6	4,047.6
Adjusted PAT	611.1	1,134.4	2,369.0	3,966.1	3,745.6	4,047.6

Balance Sheet (Rs. Mn)	FY19	FY20	FY21	FY22	FY23E	FY24E
Equity capital	194.4	194.4	181.7	181.7	272.6	272.6
Reserves	6,608.0	7,214.8	8,356.9	11,725.6	15,410.9	19,458.5
Net worth	6,802.4	7,409.2	8,538.6	11,907.3	15,683.5	19,731.1
Def. TaxLiab.+Minority Int.	468.8	613.5	984.2	1,432.0	1,432.0	1,432.0
Longterm Debt	4,319.4	3,553.0	3,375.7	4,860.4	5,426.8	5,433.8
Short Term Debt	2,716.2	3,070.8	2,937.8	3,321.2	3,322.9	3,324.8
Total debt	7,504.4	7,237.3	7,297.7	9,613.6	10,181.7	10,190.6
Other Non current Liabilities	529.6	500.8	477.0	581.1	581.1	581.1
Provisions	41.8	118.8	213.6	226.8	238.1	238.1
CAPITAL EMPLOYED	14,878.2	15,266.1	16,526.9	22,328.8	26,684.4	30,741.0
PPE Net block	9,806.5	10,011.7	10,025.3	9,790.7	14,807.9	15,462.4
Investment Property	294.6	188.5	154.4	135.2	130.2	125.2
Intangibles + ROU	31.0	27.2	24.7	102.8	96.3	89.8
Financial Assets	191.6	116.9	106.3	102.1	110.5	113.7
Capital WIP	323.3	159.6	202.3	2,702.9	1,702.3	2,202.3
TaxAssets (Deferred and Income)	171.4	193.1	156.9	166.9	166.9	166.9
Other Non current Assets	489.9	537.6	639.1	868.6	960.4	1,070.3
Total fixed assets	11,308.3	11,234.6	11,309.0	13,869.2	17,974.5	19,230.6
Investments	772.3	1,455.1	2,472.4	4,459.5	4,459.5	4,459.5
Inventories	2,777.7	2,753.4	3,747.9	5,540.8	4,605.5	5,529.4
Sundry debtors	2,091.4	1,931.4	1,885.1	2,199.7	3,140.4	3,032.6
Cash & bank	859.3	603.6	748.9	607.6	30.6	2,428.2
Loans & advances	22.2	29.7	18.0	26.9	26.9	26.9
Other current assets	901.2	1,039.1	1,047.0	891.8	1,296.4	1,385.3
Sundry creditors	2,021.8	1,571.1	2,037.0	3,647.0	2,848.1	2,856.2
O. Current Liabilities	1,816.0	2,233.1	2,567.0	1,455.8	1,837.4	2,331.5
Provisions	2.6	31.9	122.4	124.1	124.1	124.1
Working capital	3,583.7	3,976.2	5,192.9	8,499.4	8,749.7	11,550.1
Current TaxAssets (Net)						
Current TaxLiabilities (Net)	13.8	-	-	39.8	39.8	39.8
CAPITAL DEPLOYED	14,878.2	15,210.8	16,501.9	22,328.8	26,684.4	30,741.0

Growth Ratios (%)	FY19	FY20	FY21	FY22	FY23E	FY24E
Net Sales	16.79%	2.18%	3.71%	32.96%	11.53%	4.70%
Operating Profit	20.59%	61.61%	50.20%	45.59%	2.59%	11.58%
PAT	-5.15%	85.63%	108.83%	67.42%	-5.56%	8.06%
Per Share (Rs.) (Post Split adjusted for earlier years)						
Net Earnings (Adj. EPS)	22.4	41.6	86.9	145.5	137.4	148.5
Dividend	6.0	15.0	25.0	35.0	41.2	44.6
Book Value	249.6	271.8	313.3	436.9	575.4	723.9
Valuation Ratios						
P/E(x)	33.1	17.8	8.5	5.1	5.4	5.0
P/B(x)	3.0	2.7	2.4	1.7	1.3	1.0
EV/EBITDA(x)	16.31	10.03	6.56	4.86	4.93	4.05
Div. Yield(%)	0.81%	2.02%	3.37%	4.72%	5.56%	6.00%
Return Ratios (%)						
ROE	8.98%	15.31%	27.74%	33.31%	23.88%	20.51%
ROCE (Excluding Financial Liability)	7.82%	14.01%	22.47%	25.33%	20.67%	19.66%
ROCE (Excluding Cash & Bank)	8.33%	14.64%	23.67%	26.12%	20.69%	21.50%
ROA	3.26%	5.94%	11.15%	14.37%	11.88%	11.21%
Net Debt/EBITDA	3.81	2.30	1.42	1.32	1.49	0.97
Net Debt/Equity	0.91	0.81	0.65	0.64	0.56	0.32

Cash Flow (Rs. Mn)	FY19	FY20	FY21	FY22	FY23E	FY24E
PAT + Depn	1,148.70	1,784.90	2,961.20	4,599.10	4,566.31	4,995.72
Increase/decrease in						
Inventories	42.80	24.30	-994.50	-1,792.90	935.34	-923.95
Trade Receivables	-170.60	160.00	46.30	-314.60	-940.74	107.81
Short Term Loans and Advances	-5.70	-7.50	11.70	-8.90	-	-
Other Current financial Assets	-96.80	3.40	60.20	167.60	-306.56	-15.44
Other Current Assets	-32.30	-141.30	-68.10	-12.40	-98.00	-73.50
Other Financial Assets	-24.10	64.80	-24.70	3.10	-5.40	-
Other Non Current Assets	-81.00	-47.70	-101.50	-229.50	-91.77	-109.95
Trade Payables	131.60	-450.70	465.90	1,610.00	-798.93	8.12
Other Financial Liabilities	211.40	321.30	310.50	-1,253.40	200.72	240.86
Short term Provisions	2.60	29.30	90.50	1.70	-	-
Other short Financial liabilities	27.20	95.80	23.40	142.20	180.88	253.23
Other long Financial Liabilities	-56.20	5.70	-5.10	-0.60	-	-
Long Term Provisions	5.00	77.00	94.80	13.20	11.34	-
Total	-46.10	134.40	-90.60	-1,674.50	-913.11	-512.81
Net Cash from Operating Activities	1,102.60	1,919.30	2,870.60	2,924.60	3,653.20	4,482.90
Cashflow from Investing Activities						
Fixed Assets	-634.10	-688.20	-646.00	-2,900.50	-4,841.32	-2,106.57
HFS Asset	-	-55.30	30.30	25.00	-	-
Investment Property	-1.80	106.10	34.10	19.20	5.00	5.00
Loans and advances	-4.60	10.20	35.40	1.10	-3.02	-3.17
Short term investments	-194.10	-682.80	-1,017.30	-1,987.10	-	-
long term investments	-	-0.30	-0.10	-	-	-
Total	-834.60	-1,310.30	-1,563.60	-4,842.30	-4,839.34	-2,104.75
Cashflow from Financing Activities						
Equity	-	-	-12.70	-	90.86	-
R&S	-5.30	-527.60	-1,226.90	-597.40	-60.26	-
DTA	-15.40	-2.90	0.20	-18.50	-	-
DTL	63.90	144.70	370.70	447.80	-	-
Current Tax Liabilities	2.50	-13.80	-	39.80	-	-
Income tax Assets	-31.20	-18.80	36.00	8.50	-	-
Income Tax Liabilities	-	-	-	-	-	-
Short term borrowings	-155.30	348.90	-127.90	366.80	-	-
Long Term borrowings	266.30	-766.40	-177.30	1,420.80	560.00	-
Other Non current Financial Liabilities	-28.90	-28.80	-23.80	104.10	-	-
Total	96.60	-864.70	-1,161.70	1,771.90	590.60	-
Net Cash	364.60	-255.70	145.30	-145.80	-595.54	2,378.16
Cash at the beginning of year	494.70	859.30	603.60	748.90	607.60	30.65
Cash at the end of the year	859.30	603.60	748.90	603.10	12.06	2,408.80
Net Cash	859.30	603.60	748.90	607.60	30.65	2,428.20

Disclaimer

Dalal & Broacha Stock Broking Pvt Ltd, hereinafter referred to as D&B (CINU67120MH1997PTC111186) was established in 1997 and is an integrated financial services player offering an extensive range of financial solutions and services to a wide spectrum of customers with varied needs ranging from equities to mutual funds to depository services.

D&B is a corporate trading member of Bombay Stock Exchange Limited (BSE), National Stock Exchange of India Limited (NSE). D&B along with its affiliates offers the most comprehensive avenues for investments and is engaged in the securities businesses including stock broking (Institutional and retail), depository participant, portfolio management and services rendered in connection with distribution of primary market issues and financial products like mutual funds, fixed deposits. Details of associates are available on our website i.e. www.dalal-broacha.com

D&B is registered as Research Analyst with SEBI bearing registration Number INH000001246 as per SEBI (Research Analysts) Regulations, 2014.

D&B hereby declares that it has not defaulted with any stock exchange nor its activities were suspended by any stock exchange with whom it is registered in any time in the past. It has not been debarred from doing business by any Stock Exchange / SEBI or any other authorities; nor has its certificate of registration been cancelled by SEBI at any point of time.

SEBI and Stock Exchanges have conducted the routine inspection and based on their observations have issued advice letters or levied minor penalty on D&B for certain operational deviations in routine course of business.

D&B offers research services to clients as well as prospects. The analyst for this report certifies that all of the views expressed in this report accurately reflect his or her personal views about the subject company or companies and its or their securities, and no part of his or her compensation was, is or will be, directly or indirectly related to specific recommendations or views expressed in this report.

Other disclosures by D&B (Research Entity) and its Research Analyst under SEBI (Research Analyst) Regulations, 2014 with reference to the subject company(s) covered in this report:-

D&B or its associates may have financial interest in the subject company.

D&B or its associates do not have any material conflict of interest in the subject company.

The Research Analyst or Research Entity (D&B) has not been engaged in market making activity for the subject company.

D&B or its associates may have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report.

Disclosures in respect of Research Analyst:

Whether Research Analyst or his/her relatives have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report:	No
Whether the Research Analyst or his/her relative's financial interest in the subject company.	No
Whether the research Analyst has served as officer, director or employee of the subject company	No
Whether the Research Analyst has received any compensation from the subject company in the past twelve months	No
Whether the Research Analyst has managed or co-managed public offering of securities for the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation or other benefits from the subject company or third party in connection with the research report	No

D&B and/or its affiliates may seek investment banking or other business from the company or companies that are the subject of this material. Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein, and our proprietary trading and

investing businesses may make investment decisions that may be inconsistent with the recommendations expressed herein.

In reviewing these materials, you should be aware that any or all of the foregoing, among other things, may give rise to real or potential conflicts of interest including but not limited to those stated herein. Additionally, other important information regarding our relationships with the company or companies that are the subject of this material is provided herein. This report is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject D&B or its group companies to any registration or licensing requirement within such jurisdiction. Specifically, this document does not constitute an offer to or solicitation to any U.S. person for the purchase or sale of any financial instrument or as an official confirmation of any transaction to any U.S. person. Unless otherwise stated, this message should not be construed as official confirmation of any transaction. No part of this document may be distributed in Canada or used by private customers in United Kingdom. All material presented in this report, unless specifically indicated otherwise, is under copyright to D&B. None of the material, nor its content, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party, without the prior express written permission of D&B. All trademarks, service marks and logos used in this report are trademarks or registered trademarks of D&B or its Group Companies. The information contained herein is not intended for publication or distribution or circulation in any manner whatsoever and any unauthorized reading, dissemination, distribution or copying of this communication is prohibited unless otherwise expressly authorized. Please ensure that you have read "Risk Disclosure Document for Capital Market and Derivatives Segments" as prescribed by Securities and Exchange Board of India before investing in Indian Securities Market. In so far as this report includes current or historic information, it is believed to be reliable, although its accuracy and completeness cannot be guaranteed.

Name	Designation	E-mail	Phone	Sector
Mr Kunal Bhatia	Head of Research	kunal.bhatia@dalal-broacha.com	022-67141442	Retail FMCG Logistics
Ms. Anusha Raheja	Analyst	anusha.raheja@dalal-broacha.com	022-67141449	BFSI
Mr. Bhavya Gandhi	Associate	bhavya.gandhi@dalal-broacha.com	022-67141486	Midcaps
Mr. Miraj Shah	Associate	miraj.shah@dalal-broacha.com	022-67141489	FMCG Retail
Mr. Harsh Shah	Associate	Harsh.shah@dalal-broacha.com	022-67141496	Midcaps

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.

Tel: 91-22- 2282 2992, 2287 6173 | E-mail: equity.research@dalal-broacha.com